Beta Drugs Ltd — Concall Tracker

Oncology (anti-cancer) pharma · Report quarter: Q1 FY27 · Latest concall read: Q4 FY26 (15 May 2026)

Two questions: (1) Is there a durable earning trigger? (2) Has management been consistent about it? | Not investment advice — do your own due diligence.

1. Snapshot

What the business does: Beta Drugs makes cancer medicines — mostly injectable and oral chemotherapy drugs (a niche called "cytotoxics") plus the anti-cancer raw material (API = the active drug substance). It earns money five ways: (a) its own branded oncology medicines sold to Indian hospitals and doctors, (b) contract manufacturing for other big Indian pharma companies (CDMO = making drugs under someone else's label), (c) exports/tenders to ~30-45 countries, (d) selling API, and (e) two newer branded verticals — skin/cosmetology (Derma) and, from April 2026, IVF/fertility (via a 66% buyout of Nivian).

Metric (Screener snapshot)	Value	Plain-English read
Market cap	₹2,413 cr	The market's price tag on the whole company.
Current price / P/E	₹2,316 / 151x	Very expensive on *standalone* earnings (see note). On *consolidated* profit (~₹43 cr) it is closer to ~55x — still priced for strong growth.
Consolidated revenue FY26	₹396 cr	Total group sales; up only ~8% on FY25's ₹368 cr — a soft year after +22% in FY25.
Consolidated PAT FY26	~₹43 cr	Net profit; margin dipped to 10.8% (would be ~12.5% excluding a one-time debenture-interest hit). Roughly flat vs FY25's ~₹46 cr.
Consolidated EBITDA margin FY26	22.6%	Operating profit before interest/tax/depreciation as a share of sales — held steady (22.4% → 22.6%); gross margin actually improved to 55.5%.
ROCE / ROE	11.2% / 10.3%	Return on capital/equity — modest and lower than a few years ago because a big debt/cash raise (see below) is not yet fully deployed into earnings.
Borrowings (Mar 2026)	₹130 cr	Jumped from ₹6 cr (FY24) after a FY25 fundraise; most of it is convertible debentures that turn into shares in mid-2026, after which debt largely disappears.

Important number note (read before the tables): Screener's snapshot P&L shows much smaller figures (FY26 sales ₹225 cr, net profit ₹14 cr, EPS ₹14) because it reflects the **standalone** Beta Drugs entity only. Management has shifted most domestic manufacturing to a group company ("Adley Formulations"), so the **consolidated group** — the level management guides on — is far larger (revenue ₹396 cr, PAT ~₹43 cr FY26). This report uses the **consolidated** figures from the concalls for the business analysis, and the standalone figures only for market-cap/valuation. The gap is worth watching.

2. Concall coverage

Full read of the last ~3 years of calls (Screener source). Beta reported half-yearly until FY26 and moved to quarterly reporting after migrating to the NSE main board in late 2025.

Period	Call date	Transcript read?
FY23 & earlier (baseline)	—	Carried as backstory from later calls' comparatives
Q4 / FY24 (full year)	15 May 2024	Yes — full
H2 / FY25 (full year)	16 May 2025	Yes — full
H1 FY26	07 Nov 2025	Yes — full
Q4 / FY26 (full year) ★ latest	15 May 2026	Yes — full

11 transcripts (May 2021 → May 2026) were available; the four most recent full-year/half-year calls were deep-read for the trigger-and-consistency thread. The Q1 FY27 (June-2026 quarter) call had not yet been held at the time of this report, so Q4 FY26 is the freshest concall.

2b. Latest concall highlights — Q4 FY26 (call 15 May 2026)

- **Soft full year, candidly admitted.** Consolidated revenue ₹396 cr, up only ~8% (from ₹368 cr); net profit margin fell to 10.8% (≈12.5% excluding a one-time ₹9.4 cr debenture-interest charge). Management said plainly the year "was not at all encouraging."
- **Exports actually fell 11%** to ₹71 cr — export tenders due to be awarded in FY26 slipped ~4 months into March 2026. They are now awarded; supply starts Q1 FY27 and management guides **>50% export growth in FY27**.
- **New vertical — IVF/fertility.** Acquired 66.1% of Nivian Lifesciences for ₹69.4 cr (₹105 cr valuation); Nivian did ₹45-46 cr revenue at ~18-19% EBITDA and consolidates for the full year from FY27.

- **Core engine intact:** branded oncology +20% to ₹123 cr (one brand crossed ₹10 cr); API +23% and its plant cleared a PIC/S audit; the new in-house intermediate (KSM) plant is to be commercialised this year to cut reliance on China.
- **Margin already recovering:** gross margin rose to 55.5% and the March quarter operating margin bounced to ~18% — the June-2026 quarter (reported later) held ~18.2%.

2c. Business mix & capacity

Domestic vs export split: Exports were ~18% of FY26 consolidated revenue (₹71 cr of ₹396 cr); the rest (~82%) is domestic — i.e. roughly four-fifths of sales are within India today. Management's stated aim is to lift exports to ~30% of revenue by FY30. FY26 domestic mix: branded oncology ~₹123 cr, CDMO ~₹149 cr, API ~₹25 cr, Derma ~₹17 cr.

Capacity utilization (Q4 FY26): orals only ~40-45% used (large headroom), injectable liquids ~60-65% (35-40% idle), and lyophilized/freeze-dried injectables ~85% (tightest — two more lines being added). Management says the existing asset base can support **₹700-800 cr of revenue without major new capex** — so there is plenty of room to grow output before capacity becomes a constraint.

3. Earning-trigger thesis

The story management keeps pointing to: Beta is a focused oncology franchise trying to compound earnings on four legs — (1) a reliably 20-25%-growing **own-branded oncology** book fed by first-in-India new-drug-delivery products (NDDS), (2) a step-change in **exports** as regulated/semi-regulated market registrations convert to tender wins, (3) **backward integration** (in-house API intermediates/KSMs) to lift margins and cut China dependency, and (4) **new branded verticals** — cosmetology/Derma (now profitable) and the freshly acquired IVF business — plus spare capacity and ~₹100 cr of cash to fund a "Vision 2030" of doubling sales to ₹850-900 cr in ~4 years.

Trigger	What management said	Evidence so far	Horizon	Strength
Branded oncology 20-25%	Compound the own-brand book 20-25%/yr via new launches & deeper city coverage; 135+ products.	Delivered: ₹82cr→₹103cr (+25%, FY25)→₹123cr (+20%, FY26); Megestrol NDDS became #1 brand; one brand >₹10cr.	Ongoing	**Strong** — proven, repeated, on-target.
Exports / regulated markets	3x exports in 2-3 yrs; 30% of revenue by FY30; 200+ dossiers filed, EU/Mexico/Brazil entry.	Mixed: +73% in FY25 (₹46→₹80cr) but **–11% in FY26** (₹71cr) on tender delays; now re-guiding +50% FY27.	1-3 yrs	**Moderate/Unproven** — real pipeline but lumpy and timeline-slippy.
Backward integration (KSM/ intermediate plant)	In-house intermediates cut China reliance, add ~1-1.5% margin; ₹27cr plant, commercialise FY27.	Plant acquired & being built; API plant cleared PIC/S; not yet commercialised.	FY27+	**Unproven** — sensible, but benefit not yet in numbers.
New verticals (Derma + IVF/Nivian)	Derma to ₹50cr in 3-4 yrs; Nivian IVF to grow ~30%, leverage Beta's hospital access.	Derma turned EBITDA-positive FY26 (₹16.6cr, +35%); Nivian just acquired (Apr 2026), consolidates FY27.	2-4 yrs	**Moderate** — Derma proven small; IVF too early.

Read: There *is* a durable, concrete trigger — but it is really the **branded oncology engine** (proven) doing the heavy lifting today, with exports as the big-but-still-unproven swing factor that must deliver for the ₹850-900 cr vision to land.

4. Management consistency scorecard

Period / promise	What was promised	What actually happened	Verdict
Branded oncology growth	20-25% every year (said since FY23)	+25% FY25, +20% FY26 — held through a weak year	**Delivered**
FY25 revenue (guided in FY24 call)	"25-30%" growth	+22.5% to ₹362 cr — close, slight undershoot	**Partly**
FY26 revenue (analysts cited ~₹450cr / ₹530cr FY27)	Strong scale-up expected	Only ₹396 cr (+8%); management now says "we never gave ₹450 cr"	**Missed** (+ some backpedaling)
Exports ramp	3x in 2-3 yrs; big FY26 growth	+73% FY25 then **–11% FY26** on tender delays	**Partly / slipped**
EU GMP audit	"Sept 2024" → repeatedly re-dated	Pushed to Oct-Dec'24 → Jan-Mar'25 → Jan-Mar'26 → now Sept 2026	**Missed (timeline)**
NSE main-board migration	"2-3 months" (said in FY24 & FY25 calls)	Finally approved ~Nov 2025 — ~1.5 yrs late	**Missed (timeline)**

Cosmetology/Derma break-even	Turn EBITDA-positive by FY26	Achieved — positive EBITDA in FY26	**Delivered**
EBITDA margin 23-25%	Hold 23-25% consolidated	~22.4-22.6% (incl. other income) — near, but the 24-26% upper hopes not met	**Partly**
Diversification into new verticals	Cosmetology (2023), then IVF/Nivian (2026)	Executed, but some analysts flagged focus-dilution risk	**Too-early**

Narrative drift: The core story has stayed steady for years — a focused oncology company built on branded growth, exports, backward integration and R&D — and management is unusually candid about misses. But two things temper the record. First, **execution timing repeatedly slips** (EU audit for ~2 years, main-board for ~1.5 years, export tenders), and **FY26 was a genuine disappointment** (growth stalled to ~8%, exports fell, margins/net profit dipped, and a large debt/convertible raise diluted promoters from 66.7% to 59.1%). Second, the story keeps **widening** — from pure oncology into cosmetology and now IVF — which brings optionality but also focus-dilution risk that a couple of analysts openly questioned. Net: the promises that were kept are the recurring ones (branded growth); the ones that slipped are the bigger, lumpier bets (exports, regulated markets).

5. Bottom line — two verdicts

Durable earning trigger? → YES (qualified)

There is a concrete, still-live driver: a branded oncology franchise that has compounded 20-25% for years, backed by first-in-India NDDS launches, large spare capacity (assets can carry ₹700-800 cr of sales), ~₹100 cr of cash, and genuine optionality from exports, backward integration and the new IVF vertical. The reason it is *qualified* rather than unconditional: the biggest headline leg — the export/regulated-market step-change management leans on hardest — actually reversed in FY26 and remains unproven at scale, and consolidated earnings were flat-to-down last year. The proven branded engine earns the YES; whether the trigger becomes a *re-rating* trigger hinges on exports finally delivering in FY27.

Management consistent? → MAYBE

Management delivered its most-repeated promise (branded oncology 20-25%) even in a weak year, turned Derma profitable on schedule, and is refreshingly honest about shortfalls. But the record is mixed: FY26 growth stalled to ~8% and undershot the scale investors were led to expect (with some "we never said ₹450 cr" backpedaling), exports fell after being flagged as the big trigger, and two visible commitments — the EU GMP audit and the main-board migration — slipped by 1.5-2 years. Add the steady widening into new verticals, and the fair read is a company whose *direction* is consistent but whose *timelines and near-term numbers* have repeatedly disappointed. Watch FY27: a >50% export rebound and a clean post-conversion balance sheet would move this toward YES; another stalled year would move it toward NO.

Sources: Beta Drugs Ltd earnings-call transcripts (Screener.in) — 15 May 2024, 16 May 2025, 07 Nov 2025, 15 May 2026 — plus Screener financial snapshot tables. Consolidated figures are management's as stated on the calls; standalone figures are Screener's snapshot. This document is an AI-generated research note, **not investment advice**. Verify all figures independently before acting.